

In the **futures contracts** market, counter-party is found via Exchange. At times, there may be illiquid markets for certain contracts. Relatively, its a smoother process though.



5 SETTLEMENT

In a **forward contract**, physical delivery is one of the options that can be exercised. Cash settlement is also acceptable in forwards.



Futures contracts are exchange traded and therefore do not have the option of physical delivery of the underlying asset (say an agricultural product). They are settled in cash only.



CASH SETTLEMENT ONLY